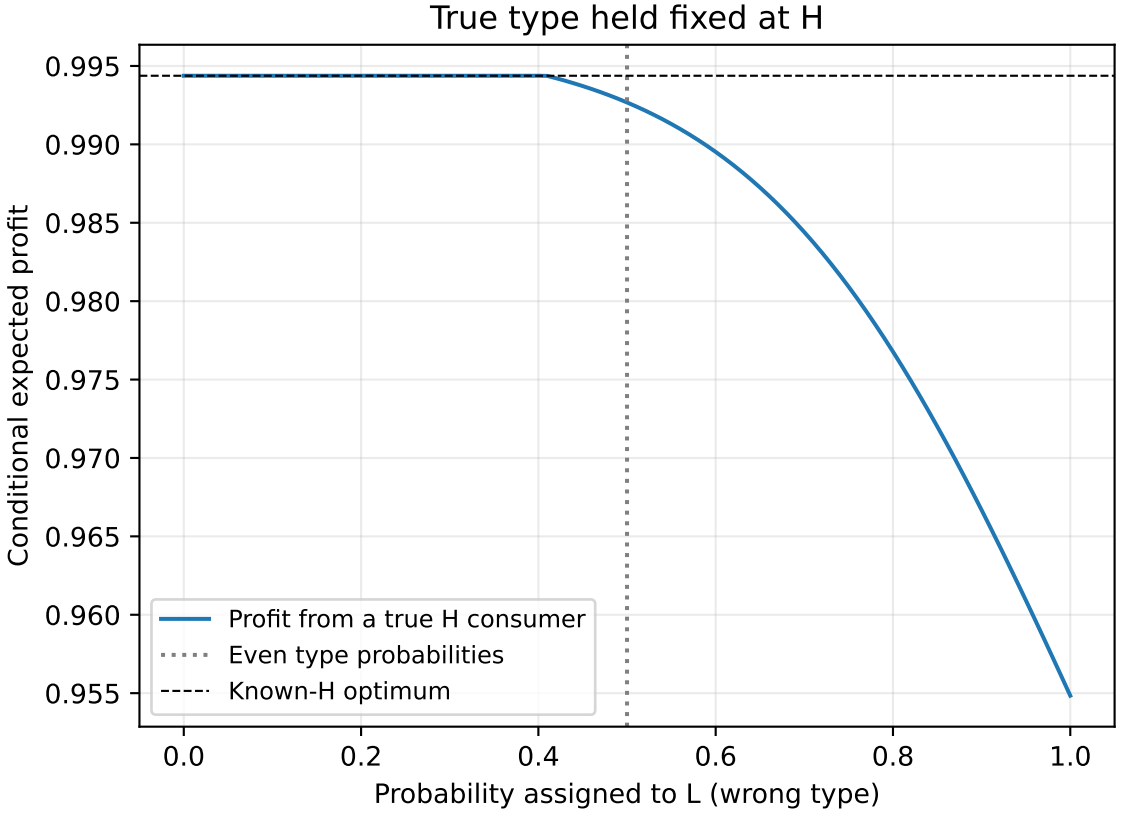
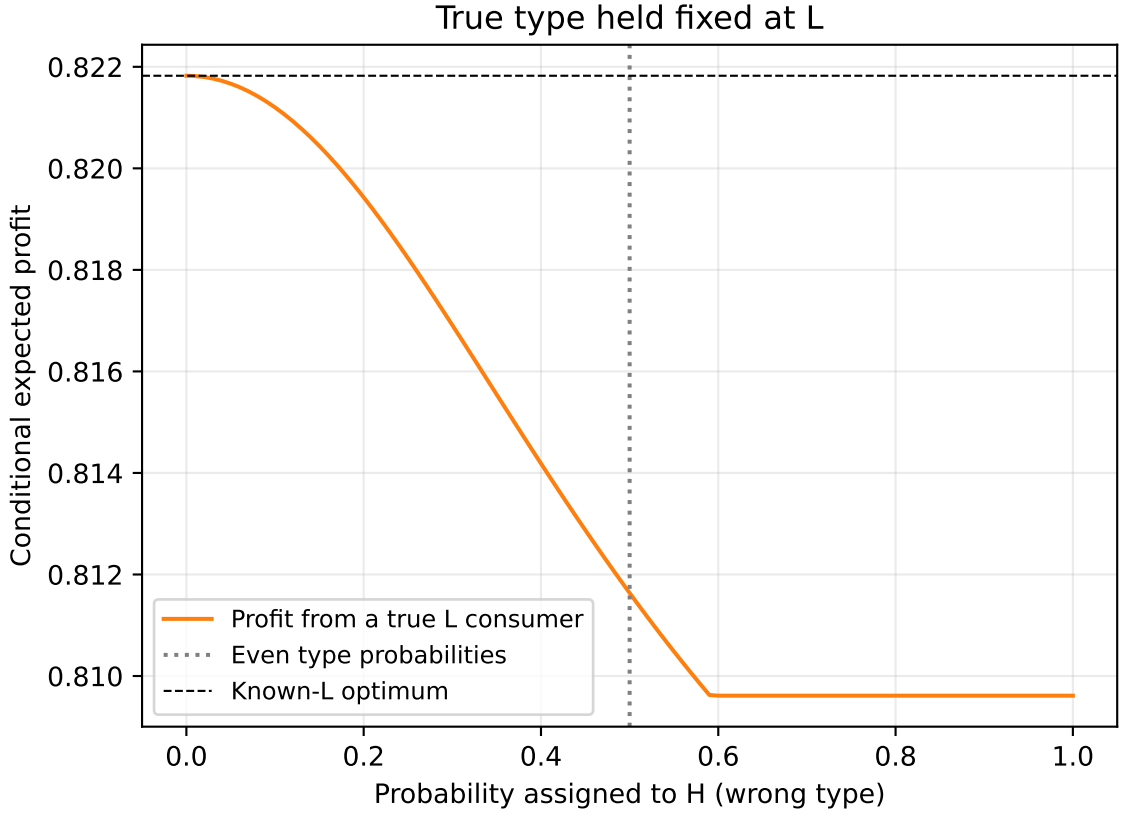

True type held fixed at H
Conditional expected profit
0.995
0.990
0.985
0.980
0.975
0.970
0.965
0.960
0.955
0.0
0.2
0.4
0.6
0.8
1.0
Probability assigned to L (wrong type)
Profit from a true H consumer
Even type probabilities
Known-H optimum


True type held fixed at L
Conditional expected profit
0.822
0.820
0.818
0.816
0.814
0.812
0.810
0.0
0.2
0.4
0.6
0.8
1.0
Probability assigned to H (wrong type)
Profit from a true L consumer
Even type probabilities
Known-L optimum